

MIE375 — Financial Engineering

Course Notes

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Lecture 1: Introduction/Syllabus

September 14, 2026

Principal and Interest

Def. Principal: Amount invested

Interest: "Rent" paid on investment

In general, for

- A : Principal
- r : interest rate per period
- V : Value received.

After 1 period, $V = A(1 + r) = A + Ar$ is received, where Ar is the interest earned on the principal for one period.

Ex. Invest \$1 for 1 year at 8%: after 1 year you receive

$$\$1.08 = \underbrace{\$1.00}_{\text{principal}} + \underbrace{\$0.08}_{\text{interest}}$$

Interest over multiple periods depend on the compounding rules:

1. **Simple:** Money grows linearly, receiving $V = A(1 + nr)$ over n periods.
2. **Compound:** Money grows geometrically, receiving $V = A(1 + r)^n$ over n periods.

The Rule of 72: Money invested at $r\%$ per year doubles in approximately $72/r$ years.

Ex. Simple: \$5000 borrowed for 5 years at 10% per year simple interest is owed

$$V = A(1 + rn) = 5000(1 + 0.1 \cdot 5) = \$7500$$

Compound: \$100 deposited at 7% compounded yearly for 10 years grows to

$$V = A(1 + r)^n = 100(1 + 0.07)^{10} = \$196.72$$

Simple interest is not used often in practice.

Def. Nominal Interest Rate: annual quote, compounding interest is in fractions corresponding to the compounding period.

For m periods per year for k periods, $V = A(1 + \frac{r}{m})^k$

Ex. Invest \$10 at 8% compounded quarterly for 3 quarters:

$$V = 10 \left(1 + \frac{0.08}{4}\right)^3 = \$10.61$$

Def. Continuous Compound Interest: when the compounding period becomes arbitrarily small, the value approaches e^{rt} .

After 1 year with m periods: $(1 + \frac{r}{m})^m$, and $\lim_{m \rightarrow \infty} (1 + \frac{r}{m})^m = e^r$. More generally, in t years there are $k = tm$ periods, so $(1 + \frac{r}{m})^{tm} \rightarrow e^{rt}$.

Ex. $A = \$100$, $r = 9\%$ compounded continuously. After 1.5 years:

$$V = 100e^{(0.09)(1.5)} = \$114.45$$

Compound Interest Summary

For r the nominal interest rate quoted:

Yearly for k years: $(1 + r)^k$ m periods per year for k periods: $\left(1 + \frac{r}{m}\right)^k$ Continuously for time t : e^{rt}

Def. Effective Rate: interest rates are usually quoted as nominal rates, but what you pay depends on the number of compounding periods. The equivalent rate with a *single* compounding period over the time interval of interest is the effective rate.

Relationship between Nominal and Effective Rate (with m compounding periods per year, so the rate per compounding period is $r = r_{nom}/m$):

$$1 + r_{eff} = \left(1 + \frac{r_{nom}}{m}\right)^m \Rightarrow \boxed{r_{eff} = \left(1 + \frac{r_{nom}}{m}\right)^m - 1}$$

1 + Simple One-year Rate = the Explicit Compound

Ex. Effective yearly rate of 8% compounded quarterly:

$$r_{eff} = \left(1 + \frac{0.08}{4}\right)^4 - 1 = 8.24\%$$

Def. APR (Annual Percentage Rate): the *nominal* annual rate of interest including all fees and charges.

APY (Annual Percentage Yield): the *effective* annual rate of interest including all fees and charges.

Both are required by the Truth in Lending Act (1968), and can be used to compare loans with different terms.

Ex. Credit Card

A credit card statement lists *daily* periodic rates of 0.02986% (purchases) and 0.05477% (advances).

	Nominal (APR)	Effective
Purchases	$(0.02986\%)(365) = 10.900\%$	$(1.0002986)^{365} - 1 = 11.514\%$
Advances	$(0.05477\%)(365) = 19.990\%$	$(1.0005477)^{365} - 1 = 22.121\%$

The statement's "annual percentage rate" is the nominal rate; the rate you actually pay is the higher effective rate.

Practice Problems

Ex. Yearly effective rate corresponding to:

(a) 8% compounded monthly: $\left(1 + \frac{0.08}{12}\right)^{12} - 1 = 8.30\%$

(b) 5% compounded semi-annually: $\left(1 + \frac{0.05}{2}\right)^2 - 1 = 5.06\%$

(c) 10% compounded continuously: $e^{0.10} - 1 = 10.52\%$

Ex. Convert by matching effective rates:

(a) 3% compounded quarterly to the nominal rate compounded monthly:

$$\left(1 + \frac{r}{12}\right)^{12} = \left(1 + \frac{0.03}{4}\right)^4 \Rightarrow r = 12 \left[(1.0075)^{1/3} - 1\right] = 2.99\%$$

(b) 6% compounded semi-annually to the nominal rate compounded continuously:

$$e^r = \left(1 + \frac{0.06}{2}\right)^2 \Rightarrow r = 2 \ln(1.03) = 5.91\%$$

Ex. Which rate would you choose? Compare the effective rates:

Quoted rate	Effective yearly rate
(a) 10% compounded continuously	10.52%
(b) 10.3% compounded monthly	10.80%
(c) 10.5% compounded quarterly	10.92%
(d) 10.6% compounded yearly	10.60%

As an investor, choose (c) since it has the highest effective rate (as a borrower, choose (a)).

Commonly Referred to Interest Rates

- **Discount Rate:** the rate at which member banks may borrow short term funds directly from a federal reserve bank.
- **Federal Funds Rate:** the rate that banks charge each other for the use of federal funds.
- **Prime Rate:** the interest rate that commercial banks charge their most creditworthy borrowers.
- **LIBOR** (London Inter-Bank Offer Rate): the interest rate that banks charge each other for loans (usually in Eurodollars).

Lecture 2: Present Value and Internal Rate of Return

Sep 17, 2026

Present value: comparing cash flows that occur at different times, while interest rates tells how to move cash flows in time. Use interest rates to move all cash flows to the same time, so they become easy to compare.

Ideal Bank: applies the same rate of interest to deposits and loans, and has no transaction costs (real banks have higher rates for loans...). Used for two ways:

- **Compounding:** when cash flow is moved **forward**, **multiplied** by $(1 + r)$ each period.
- **Discounting:** when cash flow is moved **backward**, **divided** by $(1 + r)$ each period.

The Comparison Principle

The ideal bank brings cash flow stream to the same time, then is compared.

- When all cash flows are moved to *present time*, it is called **present value**.
- When all cash flows are moved to the *same future timeline*, it is called **future value**.

Ex. Cash flow stream $(-2, 1, 1, 1)$ at $r = 10\%$ (yearly compounding, but any compounding convention works):

$$FV = -2(1.1)^3 + 1(1.1)^2 + 1(1.1) + 1 = 0.648$$

$$PV = -2 + \frac{1}{1.1} + \frac{1}{(1.1)^2} + \frac{1}{(1.1)^3} = 0.487$$

Check: $PV = FV/(1.1)^3 = 0.648/(1.1)^3 = 0.487$

General Formula for Present Value

Let $x = (x_0, x_1, x_2, \dots, x_n)$

$$\begin{aligned} PV(x) &= x_0 + \frac{x_1}{(1+r)} + \frac{x_2}{(1+r)^2} + \dots + \frac{x_n}{(1+r)^n} \\ &= \sum_{k=0}^n \frac{x_k}{(1+r)^k} \end{aligned}$$

Note that it's usually assumed that x_0 is negative, for the initial investment.

Main Theorem on Present Value

Two cash flow streams are equivalent for an ideal bank iff they have the same present value.

Internal Rate of Return

Captures the idea on the "return" on an investment.

The return on your investment is the return which would make the present value equal to 0.

Ex. Invest \$100 today, receive \$110 in one year. What is your return?

Intuitively: 10%, why?

$$x(-100, 110)$$

$$PV(x) = -100 + \frac{110}{1 + 0.1} = 0$$

Because under 10% interest, the present value of \$110 is exactly \$100.

Def. Let $x = (x_0, x_1, \dots, x_n)$ be a cash flow stream.

Then, the **internal rate of return** of this stream is the number r satisfying:

$$PV(x) = 0$$

$$x_0 + \frac{x_1}{1+r} + \frac{x_2}{(1+r)^2} + \dots + \frac{x_n}{(1+r)^n} = 0$$

To solve for this r , its more convenient to set

$$c = \frac{1}{(1+r)}$$

and solve

$$x_0 + x_1c + x_2c^2 + \dots + x_nc^n = 0$$

with the fundamental theory of algebra.

Ex. What is the internal rate of return of $(-2, 1, 1, 1)$?

Solve: $0 = -2 + c + c^2 + c^3$

$$c = 0.81 \quad \Rightarrow \quad c = \frac{1}{1+r} \quad \Rightarrow \quad r = 0.23$$

The polynomial can have many roots, which can be a problem. Fortunately, most standard investments have a well-defined IRR (see the theorem below).

Ex. Present Value Plot

Cash flow $(-5, -2, 12, -5)$: plotting PV against the interest rate r , the curve rises to a peak of about \$2.12 near $r = -0.35$, then falls and stays negative for all $r > 0$.

r	-0.5	-0.4	-0.3	-0.1	0	0.1	0.5
PV	-1.00	1.85	2.06	0.73	0.00	-0.66	-2.48

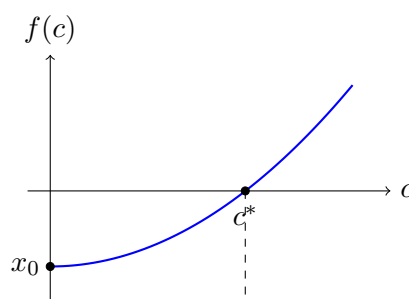
$PV = 0$ at both $r = 0$ and $r \approx -0.48$, so this stream has **two IRRs**. The sign of the cash flows changes more than once, so the Main Theorem on IRR below does not apply.

Main Theorem on IRR

Suppose the cash flow stream $x = (x_0, x_1, \dots, x_n)$ has $x_0 < 0$ and $x_k \geq 0$ where at least one term is strictly positive. Then, there is a unique positive root to the equation

$$x_0 + x_1c + x_2c^2 + \dots + x_nc^n = 0$$

Proof: plot $f(c) = x_0 + x_1c + x_2c^2 + \dots + x_nc^n$



Since $f(0) = x_0 < 0$ and $f'(c) = x_1 + 2x_2c + \dots + nx_nc^{n-1} \geq 0$ for $c \geq 0$ (as each $x_k \geq 0$, with at least one strictly positive), f is nondecreasing and unbounded above. So f crosses zero exactly once, at some $c^* > 0$.

Net Present Value (NPV)

Computes all present values of *all* cash flows associated with an investment. Includes the investment term x_0 as well.

Ex. Given two cash flow vectors

(1) After 1 year: $(-1, 2)$

(2) After 2 years: $(-1, 0, 3)$

Using NPV solution (choose largest NPV):

$$-1 + \frac{2}{1.1} = 0.82 \quad \text{vs} \quad -1 + \frac{0}{1.1} + \frac{3}{1.1^2} = 1.48$$

NPV says choose option (2).

Using IRR (choose greatest IRR):

$$-1 + 2c = 0 \Rightarrow c = 0.5 \Rightarrow r = 1.0 \quad \text{vs} \quad -1 + 3c^2 = 0 \Rightarrow c = 0.577 \Rightarrow r = 0.7$$

IRR says choose option (1).

IRR and NPV give conflicting recommendations.

When scaled, IRR is scale-invariant, PV is not.

PV also distinguishes between single and repeated cash flows, IRR does not.

In general, NPV is preferred.

Ex. Scaling and repetition (PV at 10%):

Cash flows	$(-1, 2)$	$10 \cdot (-1, 2)$	$(-1, 2, -1, 2, \dots)$
PV	0.818	8.18	4.71
IRR	$r = 1.0$	$r = 1.0$	$r = 1.0$

NPV is preferred because it distinguishes between more cash flows, but this means the cash flows and assumptions need to be modelled carefully before the NPV analysis is done. E.g. the tree-cutting NPV analysis assumes it is done only *once*; if the process can be repeated many times, we arrive at a different answer. Methods of IRR analysis exist that make it agree with NPV (e.g. incremental IRR analysis).

Steps to Solving Cash Flow Problems

1. Write down the cash flow diagram for each alternative (include *all* cash flows).
2. Evaluate the NPV of each cash flow.
3. Choose the alternative with the largest NPV.

Cycle Problems

Relate to activities that can be repeated. With NPV you arrive at a different answer depending on how many times an activity is repeated, so the activities must be evaluated over the same time horizon. Two approaches:

1. Repeat both activities until they terminate at the same time.
2. Repeat both to infinity: for an activity with lifetime T and one-cycle present value PV_1 ,

$$PV_1 \sum_{k=0}^{\infty} \frac{1}{(1+r)^{Tk}} = PV_1 \cdot \frac{1}{1 - \frac{1}{(1+r)^T}}$$

Ex. Refrigerator Purchase

Model A: price \$600, yearly cost \$180 (beginning of year), life 3 years.

Model B: price \$800, yearly cost \$120 (beginning of year), life 5 years.

Interest rate is 10%. One cycle of each (price and first cost at time 0):

$$PV_A = 780 + 180 \sum_{k=1}^2 \frac{1}{1.1^k} = \$1,092.40 \quad PV_B = 920 + 120 \sum_{k=1}^4 \frac{1}{1.1^k} = \$1,300.38$$

Approach 1: equal horizons, 15 years = 5 cycles of A = 3 cycles of B

$$A : PV_A \left(1 + \frac{1}{1.1^3} + \frac{1}{1.1^6} + \frac{1}{1.1^9} + \frac{1}{1.1^{12}} \right) = \$3,341.11$$

$$B : PV_B \left(1 + \frac{1}{1.1^5} + \frac{1}{1.1^{10}} \right) = \$2,609.17$$

Approach 2: repeat to infinity

$$A : 1092.40 \cdot \frac{1}{1 - \frac{1}{1.1^3}} = \$4,392.70$$

$$B : 1300.38 \cdot \frac{1}{1 - \frac{1}{1.1^5}} = \$3,430.37$$

These are costs, so the smaller is better: choose Model B in both approaches.

Summing Geometric Series

$$\begin{aligned} S &= \sum_{k=0}^{\infty} x^k = 1 + x + x^2 + \cdots \\ &= 1 + x(1 + x + x^2 + \cdots) = 1 + xS \end{aligned}$$

$$S(1 - x) = 1 \quad \Rightarrow \quad S = \frac{1}{1 - x} \quad (|x| < 1)$$

Lecture 3: Fixed Income Securities

Sep 21 & 24, 2026

Def. Financial Instruments

A legal obligation or claim having monetary value (eg. mortgage, stocks and bonds...)

Def. Security

A tradable financial instrument satisfying legal and regulatory requirements.

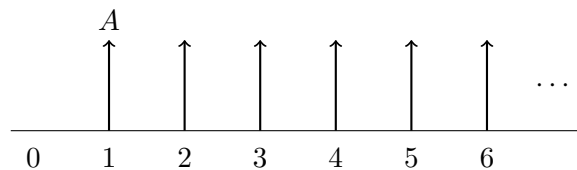
Def. Fixed Income Securities

Securities that promise a fixed income to the holder over some span of time. (eg. bonds, mortgages, annuities)

Annuity

A contract that pays the holder money periodically according to the fixed schedule.

Perpetual Annuity (Perpetuity) - Pays a fixed sum periodically, forever.



At a per period interest rate of r , the PV is

$$P = \sum_{k=1}^{\infty} \frac{A}{(1+r)^k} = \frac{A}{r}$$

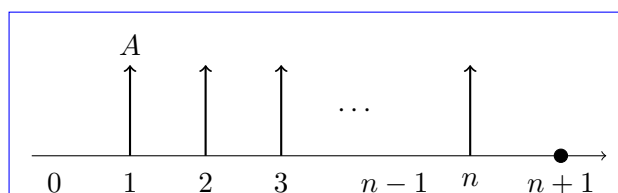
Note: Infinite sum!!

Ex. A perpetual annuity of \$1,000 each year at 10% interest/year has present value

$$P = \frac{A}{r} = \frac{\$1,000}{0.1} = \$10,000$$

Finite-Life Streams

A stream that pays A for n periods, starting at period 1. What is the PV?

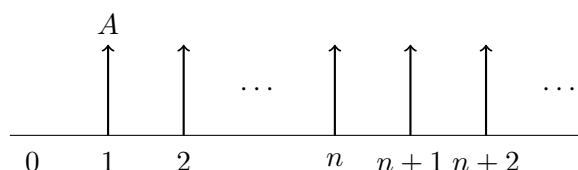


$$P = \sum_{k=1}^n \frac{A}{(1+r)^k} = \frac{A}{r} \left(1 - \frac{1}{(1+r)^n} \right)$$

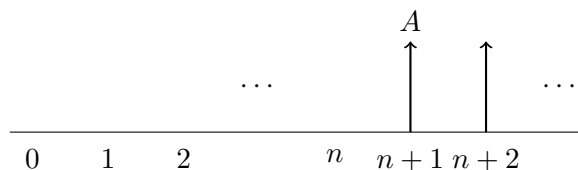
where r is the interest rate per period.

A finite life-stream can be thought as the difference between two perpetuities.

Perpetuity starting at period 1:



Perpetuity starting at period $n+1$:



$$PV = \frac{A}{r} - \frac{A}{r} \left(\frac{1}{(1+r)^n} \right)$$

$$PV_{fin} = \frac{A}{r} \left(1 - \frac{1}{(1+r)^n} \right)$$

Ex. Loan Calculation

Suppose \$1,000 is borrowed at 12% interest compounded monthly, repayed with equal monthly payments over 5 years. How much are the monthly payments?

Given: $P = \$1,000$ $r = \frac{12\%}{12} = 1\%/mo$ $n = 5 \times 12 = 60$

$$P = \frac{A}{r} \left(1 - \frac{1}{(1+r)^n} \right) \Rightarrow A = \frac{rP}{\left(1 - \frac{1}{(1+r)^n} \right)} = \$22.24/mo$$

Bonds

An agreement to pay money according to the rules of the issue.

Generally, bonds have

- Face Value, Par Value, Principal - an amount to be paid at the maturity date.
- Coupon Payments - an amount paid periodically, expressed as a % of the face value. Last coupon is paid at maturity.

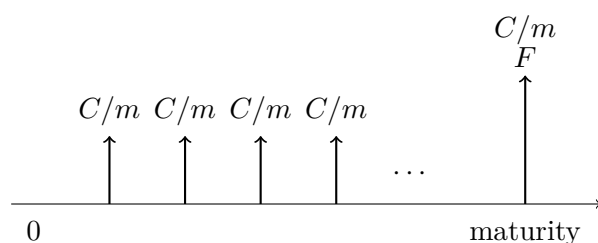
Ex. Given:

$$\text{Face Value} = \$1,000 \quad \text{Coupon} = 9\%$$

The yearly coupon amount is $\$1,000(0.09) = \90

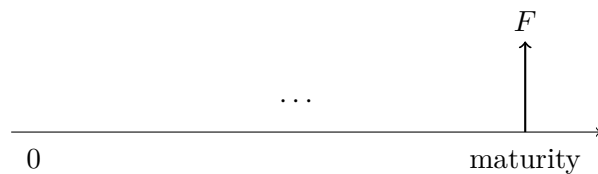
In general, coupons are paid m times per year, so each payment is C/m where C is the yearly coupon amount. In the U.S., coupons are usually paid every six months ($m = 2$), e.g. US treasury bonds with this example pay \$45 every 6 months ($\$90/2$).

Payoff Structure of a Bond



where C is the annual coupon amount, and F is the face value.

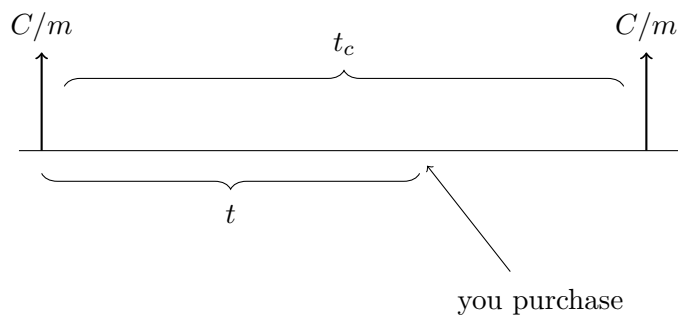
When there are no coupons, the only payoff is the face value at maturity.



This is known as a **zero-coupon bond**, or a zero.

Accrued Interest

Ignored by bond price quotes, but must be added to the price.



You must pay the previous owner their “portion” of the next coupon payment.

$$AI = \frac{\text{days since last coupon}}{\text{days in current coupon period}} \times (C/m) = \frac{t}{t_c}(C/m)$$

Ex. A treasury bond is purchased on May 8 and matures on August 15 in some future year. The coupon rate is 9% and coupons are paid every Feb 15 and Aug 15. How much accrued interest is owed?

On May 8th, 83 days have passed since the last coupon and 99 days remain until the next. With $C/m = 9\%/2 = 4.5\%$:

$$AI = \frac{83}{83 + 99} \times 4.5\% = 2.05\%$$

Def. Clean price: the market bond price (quoted, doesn’t include accrued interest).

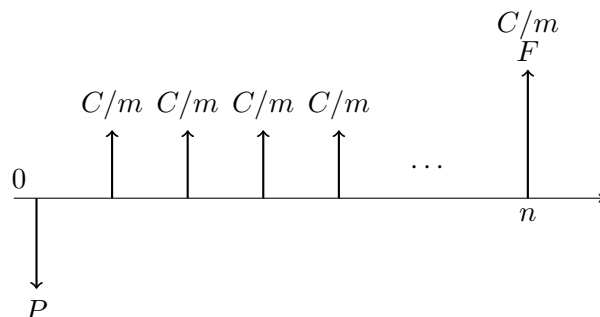
Dirty (cash) price: the clean price plus accrued interest, i.e. what you actually pay.

Government Securities:

- Bill: up to 1 year
- Note: 1 to 10 years
- Bond: 10 to 30 years

Bond Price and Yield

The whole cash flow stream of purchasing a bond can be mapped out, where P is the entire amount paid for the bond: the market price plus accrued interest (the dirty price).



The IRR of this cash flow stream is the **yield** (or **yield to maturity**) of the bond, denoted λ . It captures the rate of return from buying the bond and holding it to maturity.

$$P = \underbrace{\frac{F}{\left(1 + \frac{\lambda}{m}\right)^n}}_{\text{PV of face}} + \underbrace{\frac{C/m}{\lambda/m} \left[1 - \frac{1}{\left(1 + \frac{\lambda}{m}\right)^n} \right]}_{\text{annuity formula}}$$

- P : price including accrued interest
- F : face value
- m : coupon payments per year (compounding m times per year),
- C/m : amount of each coupon payment
- n : amount of coupon payments remaining.
- λ/m : yield per coupon period, n : coupon payments left

Note this equation only holds when λ is the yield, with exactly n coupon payments remaining.

Ex. Price of a bond with par value \$1,000 paid in ten years, coupon rate 10%, yield 12%, coupons paid semi-annually. Then $n = 20$, $C/m = 50$, $\lambda/m = 6\%$:

$$P = 50 \cdot \frac{1 - \frac{1}{(1.06)^{20}}}{0.06} + \frac{1000}{(1.06)^{20}} = 50(11.47) + 311.80 \approx \$885.30$$

Def. Comparing a bond's price P to its face value F (equivalently, its coupon rate C/F to its yield λ):

- **Par bond:** $P = F$, when the coupon rate **equals** the yield.
- **Premium bond:** $P > F$, when the coupon rate is **above** the yield.
- **Discount bond:** $P < F$, when the coupon rate is **below** the yield.

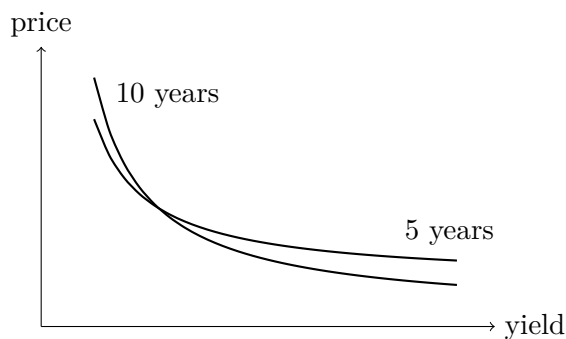
E.g. the bond above has a 10% coupon but a 12% yield, so it sells at a discount ($\$885.30 < \$1,000$).

The Price-Yield Curve

For a fixed maturity, price and yield are inversely related:

- Rates Rise $\rightarrow$ Existing bond prices Fall
- Rates Fall $\rightarrow$ Existing bond prices Rise

The longer the time to maturity, the more sensitive the price of the bond is to the yield.



Ex. A 30-year zero-coupon bond with face value \$1,000, priced at different yields:

Yield	1%	2%	5%	10%	15%	20%
Price	\$741.37	\$550.45	\$227.28	\$53.54	\$13.05	\$3.28

Price falls steeply as yield rises: $P = 1000/(1 + \lambda)^{30}$.

The **current yield** is the coupon divided by the current price. In this course, **yield** always means **yield to maturity**.

Ex. Bond Quote

Treasury quotes from yahoo.com (YTM = yield to maturity, CY = current yield):

Issue	Price	Coupon	YTM	CY
T-Note, matures 31-Oct-2005	99.91	1.625	2.923	1.626
T-Note, matures 15-Jan-2011	109.71	3.500	1.574	3.190
T-Bond, matures 15-Feb-2021	135.49	7.875	4.622	5.812

Check: $CY = 7.875/135.49 = 5.812\%$. YTM and CY can differ a lot, since CY ignores the face value repaid at maturity.

Bond Ratings

Standard & Poor's and Moody's are two independent bond rating agencies.

	S&P	Moody's	Meaning
Investment Grade	AAA	Aaa	Best quality, smallest credit risk (US gov. bonds)
	AA	Aa	High grade
	A	A	High to medium grade
	BBB	Baa	Medium grade
Speculative Grade (Junk Bonds)	BB	Ba	Judged to be speculative
	B	B	Increasingly speculative
	CCC	Caa	Danger of default
	CC	Ca	Very speculative, high chance of default
	C	C	Small chance of not defaulting
	D	D	In default

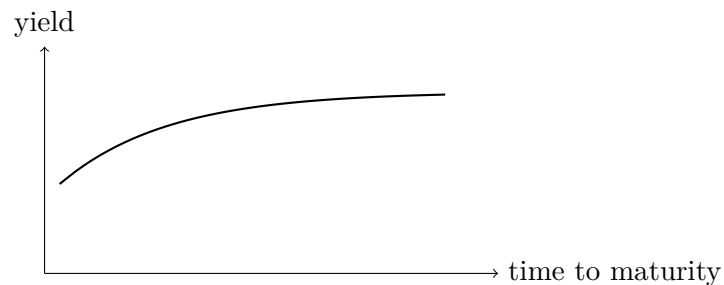
Lecture 4: The Term Structure of Interest Rates

Sep 28, 2026

The Yield Curve

In general, yields on bonds of different maturities are different, i.e. interest rates are a function of time.

Plotting yield vs. time to maturity for bonds gives the **yield curve**.



Real U.S. Treasury yield curves (yahoo.com): on Sep 10, 2004 the curve rose steeply from about 1.5% (3 months) to 5% (30 years); on Oct 4, 2005 it was much flatter, from about 3.5% to 4.6%. The shape of the curve changes over time.

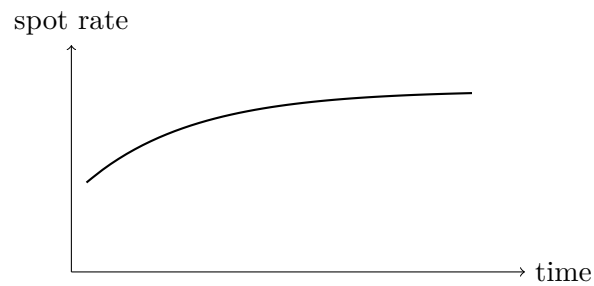
The yield curve is not exactly what we want, since bonds may have coupons (intermediate cash flows). We would really like to know the interest rate on a **single cash flow at time t** , with no intermediate cash flows.



Spot Rates

Def. Spot Rate

Interest rates for a specific time t . Always **annual nominal interest rates**, can be compounded yearly, m periods per year, or continuously.



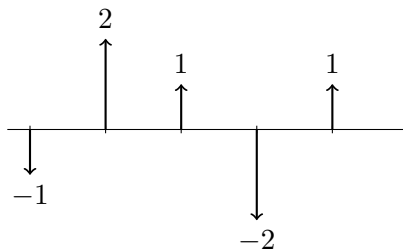
Plotting spot rates vs. time gives the **spot rate curve**, also known as the **term structure of interest rates**.

We can price bonds reliably with predictions through the term structure of interest (quant!!).

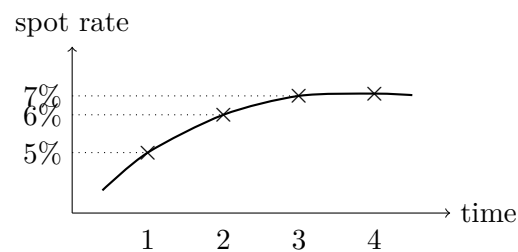
Present Value and Spot Rates

When computing present value, the spot rate corresponding to the time of each cash flow must be used for discounting:

$$PV = x_0 + \frac{x_1}{1 + s_1} + \frac{x_2}{(1 + s_2)^2} + \cdots + \frac{x_n}{(1 + s_n)^n}$$



Ex.



Time	0	1	2	3	4
Cash flow	-1	2	1	-2	1
Spot rate		5%	6%	7%	7%

$$PV = -1 + \frac{2}{1.05} + \frac{1}{1.06^2} + \frac{-2}{1.07^3} + \frac{1}{1.07^4} = 0.925$$

Determining Spot Rates

If you know the price of a **zero-coupon bond**, its yield is the spot rate. Given price P and face value F of a zero maturing at t :

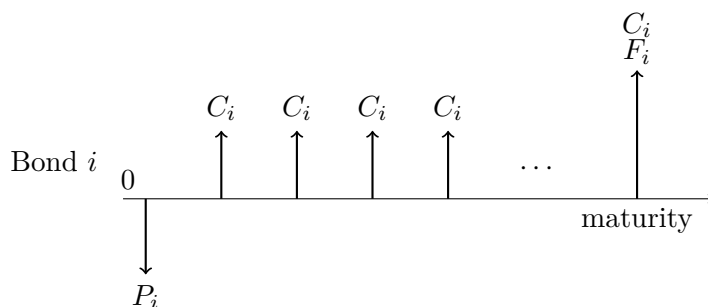
$$\boxed{P = Fe^{-s_t t}} \quad (\text{continuous compounding}) \qquad \boxed{P = \frac{F}{(1 + s_t)^t}} \quad (\text{discrete compounding})$$

Problem: What if there are no zeros?

Solution: Construct a zero-coupon bond from coupon bonds.

Constructing Zeros

Take two coupon bonds with the same maturity (and coupon dates) and form a portfolio of x of bond 1 and y of bond 2 (negative means short).



Three equations for the portfolio:

$$\begin{array}{lcl} \text{Coupon:} & xC_1 + yC_2 = C_0 \\ \text{Face:} & xF_1 + yF_2 = F_0 \\ \text{Price:} & xP_1 + yP_2 = P_0 \end{array}$$

To construct a zero, set $C_0 = 0$ and $F_0 = \$100$, assuming $F_0 = F_1 = F_2$. Then solve for x and y . The price of the zero is then $P_0 = xP_1 + yP_2$, and the spot rate could be computed.

Ex. Portfolio of 3 of bond 1 (face \$100, 10% coupon) and -2.5 of bond 2 (face \$100, 12% coupon), both maturing at $t = 5$:

Time	0.5	1	...	5
Bond 1	10	10	...	110
Bond 2	12	12	...	112
Portfolio	0	0	...	50

Coupons cancel: $3(10) - 2.5(12) = 0$, leaving only $3(110) - 2.5(112) = 50$ at maturity, a zero.

Ex. Bond 1: 10 year, 10% coupon, $P_1 = \$98.72$. Bond 2: 10 year, 8% coupon, $P_2 = \$85.89$.
(Note: Choose two bonds with the **same maturity**, so the spot rate for that maturity can be computed)

Create a zero:

$$\begin{cases} \text{Coupon: } 10x + 8y = 0 \\ \text{Face: } 100x + 100y = 100 \end{cases} \Rightarrow x = -4, y = 5$$

Price of zero: $xP_1 + yP_2 = -4(98.72) + 5(85.89) = \34.57

Spot Rate (discrete compounding):

$$34.57 = \frac{100}{(1 + s_{10})^{10}} \Rightarrow s_{10} = 0.112 = 11.2\%$$

Note: if possible, you can compare this computed value with the actual yield, then see which one is "better"

Forward Rates

Def. Forward Rates

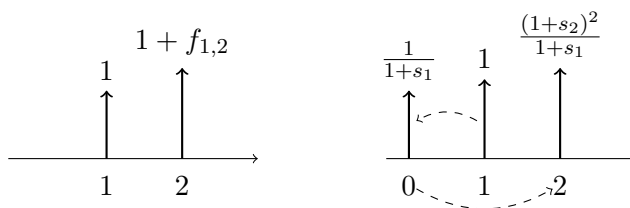
The interest rate for money to be borrowed between two dates in the future, but under terms agreed upon today.

f_{t_1, t_2} : the forward rate between t_1 and t_2 .

Note: t_1 can be 0, but not negative, when $t_1 = 0$, $f_{0, t_2} =$ to the spot rate of t_2 .

How can forward rates be computed from the spot rate curve?

Starting with \$1 at time 1 and moving it to time 2, we should have $1 + f_{1,2}$ by the definition of the forward rate. Spot rates tell us how to move money to and from time 0, so we can instead go through time 0:



$$1 + f_{1,2} = \frac{(1 + s_2)^2}{1 + s_1} \Rightarrow \boxed{f_{1,2} = \frac{(1 + s_2)^2}{1 + s_1} - 1}$$

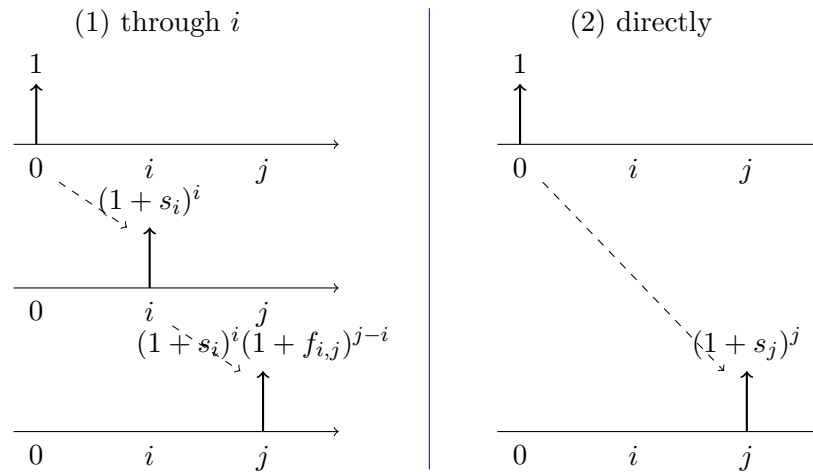
Ex. Spot rates for 1 and 2 years are 7% and 8%. The implied forward rate is

$$f_{1,2} = \frac{(1.08)^2}{1.07} - 1 = 0.0901$$

Note that the forward rate has to be **larger** than 8% to balance out the $(1 + 0.08)^2$

Formula for Forward Rates

Invest \$1 at time 0 until time j in two ways: (1) at the spot rate s_i until i , then at the forward rate $f_{i,j}$ until j ; (2) directly at the spot rate s_j . Both must give the same result:



$$\boxed{(1 + s_i)^i (1 + f_{i,j})^{j-i} = (1 + s_j)^j} \quad f_{i,j} = \left[\frac{(1 + s_j)^j}{(1 + s_i)^i} \right]^{1/(j-i)} - 1$$

Note: this calculation must be consistent with the type of compounding.

Ex. Spot rates for 2 and 6 years are 3% and 5%. The implied forward rate is

$$(1 + s_2)^2 (1 + f_{2,6})^4 = (1 + s_6)^6 \quad \Rightarrow \quad f_{2,6} = \left(\frac{(1.05)^6}{(1.03)^2} \right)^{1/4} - 1 = 6.01\%$$

Def. Rates that span only 1 period are **short rates**. E.g. for yearly compounding: $s_1, f_{1,2}, f_{2,3}, \dots$

Short rates can be determined from the spot rate curve and vice versa.

Term Structure Explanations

Why isn't the term structure (spot rate curve) flat? Three explanations:

- (1) **Expectations Theory:** spot rates are determined by the expectations of what interest rates will be. E.g. if the spot rate curve slopes upward, it is because people expect interest rates to increase in the future.
- (2) **Liquidity Preference:** investors prefer short term securities over long term ones, since long term securities “tie up” money for long. There are also secure investments that are both easy to get in and out of.
- (3) **Market Segmentation:** the fixed income market is segmented by maturity dates. The rate for each maturity is determined by the group of investors interested in that maturity, i.e. simple supply and demand among those investors.

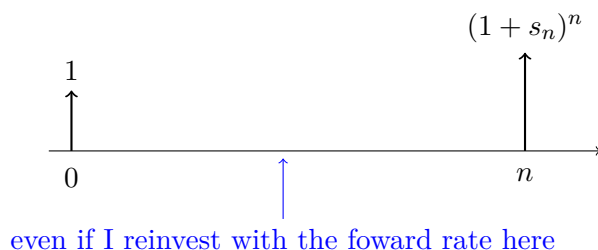
Expectation Dynamics

Forward rates are rates in the future that are agreed upon **now**. But we don’t know what the **actual future rates** will be when that time arrives, since spot rate curves could change. When forward rates are used as a prediction (could be wrong) of the actual future rates, this forecast is called **expectation dynamics**.

Prohibits arbitrage, using forward rates that are anchored on the spot rates today.

The Invariance Theorem

If interest rates evolve according to expectation dynamics, then a sum of money invested in the interest rate market for n years, will grow by a factor of $(1 + s_n)^n$ regardless of the investment and reinvestment strategy (no matter what combination of spot and forward rates).



Why? Implied forward rates were computed to satisfy exactly this relationship.

So even if you don’t lock in a future interest rate now, you can still use forward rates for discounting, as long as you assume expectation dynamics.

If expectation dynamics are assumed, the invariance thoerem is true (will always equal the same return value regardless of investment strategies.)

Lecture 5: Cash Matching

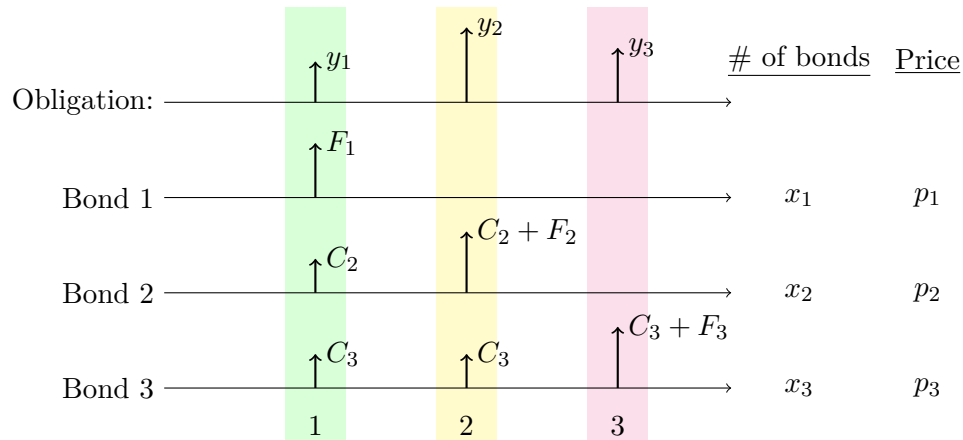
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Cash Matching Problem

A series of future obligations must be met.

You have various bonds you can invest in, where the portfolio could be used to meet the obligation.

Choose portfolio of minimum cost that has enough money to meet the obligation (optimization!!)



Let y_t be the obligation at time t , and x_i the number of bond i (price p_i , coupon C_i , face F_i) we buy.

Assumptions (the problem can be solved under each one):

- 1) No reinvestment of excess cash is allowed.
- 2) Excess cash can be held at zero interest from one period to the next.
- 3) Excess cash can be reinvested at the appropriate forward rate.

Constrained optimization?????

Yes: the objective (total cost) and every constraint are **linear** in the unknowns, so each model is a **linear program** (LP), solvable with e.g. Excel Solver.

Note # of bonds should always be non-negative! ($x_i \geq 0$, no short selling)

Model 1: Without Reinvestment

Each period's cash flow from the bonds must cover that period's obligation on its own:

$$\begin{array}{ll}
 \min_{x_1, x_2, x_3} & p_1 x_1 + p_2 x_2 + p_3 x_3 \\
 \text{s.t.} & F_1 x_1 + C_2 x_2 + C_3 x_3 \geq y_1 \\
 & (F_2 + C_2) x_2 + C_3 x_3 \geq y_2 \\
 & (F_3 + C_3) x_3 \geq y_3 \\
 & x_1, x_2, x_3 \geq 0
 \end{array}$$

Model 2: Reinvestment at Zero Rate

z_i is the possible excess cash generated, when positive, could be carried forward for reinvestment. Excess z_1 is subtracted at time 1 and added back (with no interest) at time 2:

$$\begin{aligned} \min_{x_1, x_2, x_3} \quad & p_1 x_1 + p_2 x_2 + p_3 x_3 \\ \text{s.t.} \quad & F_1 x_1 + C_2 x_2 + C_3 x_3 - z_1 \geq y_1 \\ & (F_2 + C_2) x_2 + C_3 x_3 + z_1 - z_2 \geq y_2 \\ & (F_3 + C_3) x_3 + z_2 \geq y_3 \\ & x_i \geq 0, \quad z_1, z_2 \geq 0 \end{aligned}$$

Model 2 will never be worse than model one, worst case the same ($z = 0$) than model 1, thus it is superior.

Model 3: Reinvestment at Forward Rate

Model 3: investment with forward rate. Excess z_1 carried from time 1 to 2 now grows by $(1 + f_{1,2})$:

$$\begin{aligned} \min_{x_1, x_2, x_3} \quad & p_1 x_1 + p_2 x_2 + p_3 x_3 \\ \text{s.t.} \quad & F_1 x_1 + C_2 x_2 + C_3 x_3 - z_1 \geq y_1 \\ & (F_2 + C_2) x_2 + C_3 x_3 + (1 + f_{1,2}) z_1 - z_2 \geq y_2 \\ & (F_3 + C_3) x_3 + (1 + f_{2,3}) z_2 \geq y_3 \\ & x_i \geq 0, \quad z_1, z_2 \geq 0 \end{aligned}$$

Similarly, as long as forward rates are non-negative, $(1 + f)z \geq z$, so Model 3 is never worse than Model 2.

Ex. Cash Matching Spreadsheet

Four bonds (face \$100, annual coupons), bond i maturing at time i , and obligations (10, 200, 30, 50) at times 1–4.

The term structure uses **continuous compounding**: discount factors $d(0, i) = e^{-s_i i}$, and reinvesting from $i - 1$ to i multiplies by $e^{f_{i-1, i}}$ (e.g. $e^{0.04} = 1.0408$).

Time	Term structure			Bond cash flows				Obligation
	s_i	$f_{i-1, i}$	$d(0, i)$	1 (3%)	2 (4%)	3 (2%)	4 (5%)	
1	3%	3.0%	0.9704	103	4	2	5	10
2	3.5%	4.0%	0.9324		104	2	5	200
3	4%	5.0%	0.8869			102	5	30
4	4.2%	4.8%	0.8454				105	50
Price				99.96	100.85	94.27	102.71	

Each price is the bond's cash flows discounted at the spot rates, e.g. $p_1 = 103(0.9704) = 99.96$.

Optimal portfolios:

Model	x_1	x_2	x_3	x_4	Total cost
1) No reinvestment	0	1.8950	0.2708	0.4762	\$265.546
2) Zero rate ($z_1 = 0.484$)	0	1.8903	0.2708	0.4762	\$265.077
3) Forward rate ($z = 21.25, 9.97, 9.19$)	0.2104	1.7828	0.2626	0.3843	\$265.059

- In Model 1, time 1 receives \$10.50 > \$10: the extra \$0.50 is wasted, since it can't be carried forward.
- In Model 2, that excess ($z_1 = 0.484$) is carried to time 2, so slightly fewer of bond 2 are needed.
- Cost decreases $1 \rightarrow 2 \rightarrow 3$, as expected.
- Model 3's cost equals the PV of the obligations at the spot rates: $10(0.9704) + 200(0.9324) + 30(0.8869) + 50(0.8454) = \265.059 . With reinvestment at the forward rates, every dollar moves through time exactly as the term structure says, so no portfolio can do better than this.